The Morning Brief

MAY 20, 2026

Nvidia Print

Equities post a third straight lower close into tonight's after-the-bell Nvidia report as Iran de-escalation signals ease crude and IOWN holdings Toll Brothers and Keysight both beat.

S&P 500 (TUE)	NASDAQ (TUE)	NVDA (TUE)	ENERGY (XLE)	FEAR & GREED
$733.73 · ↓0.67%	$701.53 · ↓0.62%	$220.61 · ↓0.77%	↑1.17% · Top Sector	27 · Fear

SECTION 01

Markets — Wednesday Open

THE TAPE POSTED A THIRD CONSECUTIVE LOWER CLOSE AS RISING TREASURY YIELDS PRESSURED EQUITIES INTO TONIGHT'S NVIDIA PRINT — ENERGY, HEALTHCARE, AND UTILITIES WERE THE ONLY GREEN SECTORS WHILE MATERIALS AND THE PRECIOUS-METALS COMPLEX BORE THE BRUNT, AND IOWN HOLDINGS TOL AND KEYS BOTH BEAT AFTER THE CLOSE

The IOWN tape carried the prior briefs' rising-yield framing into a Tuesday session that closed broadly lower for a third consecutive day. The S&P 500 ETF closed at $733.73 (−0.67%), the Dow at $493.98 (−0.61%), and the Nasdaq proxy at $701.53 (−0.62%), with the Russell 2000 the weakest at $273.00 (−1.08%); per CNBC's session coverage, the broad index and the Nasdaq each posted a third straight losing session as rising Treasury yields pressured equities. The proximate driver was the bond market — the long-end Treasury proxy TLT eased −0.65% to $83.02, extending the backup in yields that has run through the prior briefs. The selling concentrated in the cyclically and rate-sensitive corners: Materials was the weakest sector at −2.35%, Financials −1.24%, and Industrials −1.18%, while the precious-metals complex took the sharpest hit — GLD −1.66%, SLV −4.35%, and the IOWN growth-sleeve miner AEM −3.24% — consistent with the move higher in real yields. Energy (XLE ↑1.17%), Healthcare (XLV ↑1.10%), and Utilities (XLU ↑0.91%) were the only sectors to finish green, and UVXY (VIX proxy) firmed ↑1.41%. After the close, IOWN holdings TOL and KEYS both reported — the two prints the prior brief flagged as Tuesday-after-close catalysts — and both beat.

S&P 500 · DOW · NASDAQ	$733.73 ↓0.67% · $493.98 ↓0.61% · $701.53 ↓0.62%
TREASURIES · VOLATILITY	TLT −0.65% to $83.02 (yields higher) · UVXY ↑1.41%
SECTOR BREADTH	XLE ↑1.17% · XLV ↑1.10% · XLU ↑0.91% · XLB −2.35% (weakest)
PRECIOUS METALS	GLD −1.66% · SLV −4.35% · AEM −3.24%
IOWN EARNINGS (TUE AMC)	TOL EPS $2.72 beat · FY guidance raised · KEYS EPS $2.87 beat · record quarter
CARSON'S ACTIVE LEVEL	SPY $645.80 support · Untested (Tue low $731.53 — roughly 13% above)

NVIDIA REPORTS FISCAL Q1 AFTER TONIGHT'S CLOSE AS THE SINGLE LARGEST CATALYST OF THE WEEK — CONSENSUS CLUSTERS NEAR $79 BILLION IN REVENUE AND APPROXIMATELY $1.77 TO $1.79 IN EPS, AND THE AI-INFRASTRUCTURE CONNECTIVITY NAMES INSIDE THE IOWN GROWTH SLEEVE FIRMED INTO THE PRINT EVEN AS THE BROAD TAPE FELL

The defining event of the session ahead is Nvidia's fiscal Q1 2027 report, due after tonight's close. Per S&P Global, Kiplinger, heygotrade, and the data drop's earnings estimate, consensus clusters near $79 billion in revenue — up roughly 80% year over year — approximately $1.77 to $1.79 in non-GAAP EPS, and data-center revenue around $73 billion, with gross margin and second-quarter guidance widely flagged as the variables that historically move the after-hours tape more than the headline beat. Per The Motley Fool, Nvidia has an extended record of topping consensus EPS, and per CNBC the stock has accounted for close to a fifth of the S&P 500's return this year — the print is a genuine index-level event, not just a single-name one. NVDA closed Tuesday at $220.61 (−0.77%). The notable internal was that the AI-infrastructure connectivity names inside the IOWN growth sleeve firmed into the print even as the broad tape fell — CRDO ↑8.14% to $168.99 and MRVL ↑4.34% to $176.27 led all IOWN movers, with NXPI ↑0.89%. Separately, the April 28–29 FOMC minutes release at 1:00 PM CT this afternoon, and dividend-sleeve holding ADI reports pre-market — both feed the same rate-and-semiconductor read that will frame the day.

A single after-the-bell report that has driven close to a fifth of the index's year-to-date return concentrates both the risk and the opportunity in one line item — the IOWN physical-AI positioning is deliberately spread across the connectivity, power, and foundry layers rather than the headline name. **Simplicity Over Complexity.**

Geopolitics

THE IRAN NARRATIVE SHIFTED FROM STRIKE POSTPONEMENT TOWARD DEAL PROSPECTS — VICE PRESIDENT VANCE SAID WASHINGTON AND TEHRAN HAVE MADE PROGRESS IN TALKS WITH NEITHER SIDE SEEKING RENEWED MILITARY ACTION, AND TRUMP TOLD LAWMAKERS HE EXPECTS THE CONFLICT TO END QUICKLY, THOUGH HE SEPARATELY CAUTIONED A FURTHER STRIKE REMAINS POSSIBLE

The dominant geopolitical development overnight is a shift in posture rather than a settlement. Per Reuters and Business Standard, Vice President JD Vance said the United States and Iran have made progress in their talks and characterized neither side as wanting to see a resumption of military action; both crude benchmarks fell close to a dollar on the comments. Trump separately told US lawmakers late Tuesday that he expects the war to end quickly. That framing is a meaningful step beyond the strike-postponement narrative the prior briefs tracked — the diplomatic channel that reopened at the request of Saudi, Qatari, and Emirati leaders now appears to be carrying real content. The posture remains conditional, however: per the same reporting, Trump earlier said the United States may still need to strike Iran and noted he had been roughly an hour from ordering an attack before postponing it. Per Reuters via the data drop headlines, tankers are beginning to exit the Strait of Hormuz as Trump and Vance talk up deal prospects — the first tangible sign that disrupted shipping could resume. Whether the negotiating track can convert progress into a durable agreement inside a still-volatile window is the proximate variable for the committee.

CRUDE EASED ON THE DE-ESCALATION SIGNALS BUT ENERGY WAS STILL TUESDAY'S TOP SECTOR — ANALYSTS CAUTION THAT EVEN A NEGOTIATED SETTLEMENT WOULD NOT QUICKLY RESTORE PRE-WAR SUPPLY, LEAVING THE IOWN ENERGY SLEEVE ON THE STRUCTURAL SIDE OF THE ASYMMETRY

The energy complex is the cleanest place to read the de-escalation. Crude benchmarks eased into Wednesday's session on the Vance and Trump comments, yet energy was still the top-performing IOWN sector on Tuesday — XLE ↑1.17%, with CVX ↑0.58% to $197.25, VLO ↑1.59% to $262.62, OKE ↑1.58% to $95.24, and CNX ↑2.22% to $37.37. The structural point, per Reuters and Business Standard analyst commentary, is that even if Washington and Tehran reach an agreement, crude supply is not expected to return quickly to pre-war levels, and prices could stay elevated given the residual risk of renewed strikes; per ING's tracking, roughly 14 million barrels per day of supply has been disrupted by the Strait of Hormuz blockage. The IOWN energy sleeve was constructed around that physical-supply asymmetry rather than around an escalation path — it tends to function as a standalone tightening trade whether or not the diplomatic channel holds. Defense exposure gave back modestly into the de-escalation tone (LMT −0.32% to $526.63, GD −0.87% to $340.14), consistent with the orthogonal-hedge role the prior briefs described.

IRAN · DIPLOMATIC POSTURE	Vance flags progress in US–Iran talks per Reuters · Trump tells lawmakers war to end quickly
CONDITIONAL CAVEAT	Trump says a further strike remains possible · Posture not yet a settlement
CRUDE · OVERNIGHT	Brent and WTI each eased close to $1 on the de-escalation signals per Reuters/Business Standard
HORMUZ	Tankers beginning to exit the strait per Reuters · ~14M bpd disrupted per ING
IOWN ENERGY SLEEVE (TUE)	XLE ↑1.17% (top sector) · CVX ↑0.58% · VLO ↑1.59% · OKE ↑1.58%
IOWN DEFENSE SLEEVE (TUE)	LMT −0.32% · GD −0.87% (gave back into de-escalation tone)

SECTION 03

On Our Radar

1. Nvidia reports fiscal Q1 2027 after tonight's close — the single highest-variance event on the calendar, with consensus near $79 billion in revenue and roughly $1.77 to $1.79 in EPS, and Q2 guidance and gross margin the lines that historically move the after-hours tape. Per S&P Global, Kiplinger, heygotrade, and the data drop's estimate, Nvidia's fiscal Q1 — the period ended in late April — is expected to show revenue near $79 billion, up roughly 80% year over year, with data-center revenue around $73 billion and non-GAAP EPS in the $1.77 to $1.79 range. Per The Motley Fool, the company has an extended record of consensus EPS beats, and that coverage frames the report against the prospect of joining the $6 trillion market-capitalization tier; per CNBC, Nvidia has accounted for close to a fifth of the S&P 500's return this year, which makes tonight an index-level event. For the IOWN framework, the read-through runs well beyond the single name — TSM as the foundry, MRVL and CRDO in connectivity, and VST, NEE, and the utility sleeve on the power side. The discipline is to treat the print as a catalyst for the whole physical-AI thesis rather than a binary on one holding. *Research Reveals Opportunities.*

2. The April 28–29 FOMC minutes release at 1:00 PM CT this afternoon into a tape already repricing toward higher-for-longer, and IOWN dividend-sleeve holding ADI reports pre-market. Per the Federal Reserve's schedule, the minutes of the April 28–29 policy meeting are released this afternoon, three weeks after the decision; with the long-end Treasury proxy TLT down −0.65% Tuesday and rising yields cited by CNBC as the proximate driver of the equity selloff, the language on the inflation path and the policy-rate bias is what the rates desk will parse. Per coverage referenced in the prior briefs, futures markets have shifted toward pricing a meaningful tail of hike risk rather than cut risk over the coming meetings. ADI reports pre-market with consensus near $2.93 EPS per the data drop — the dividend-sleeve read on industrial and automotive semiconductor demand, and a useful pre-open complement to tonight's Nvidia print. Fed speakers Paulson and Barr are also on the calendar. *Avoid Erosion.*

3. Both IOWN holdings that reported after Tuesday's close beat — Toll Brothers posted EPS of $2.72 against roughly $2.59 consensus and raised full-year guidance, and Keysight delivered what it characterized as its best quarter on record. Per Toll Brothers' release and Seeking Alpha coverage, the homebuilder reported fiscal Q2 EPS of $2.72 versus consensus near $2.59, delivered 2,491 homes, generated roughly $2.5 billion in home-sales revenue about $110 million above the midpoint of guidance, and raised full-year guidance across its key homebuilding metrics; shares traded up roughly 3.3% in post-market dealing after closing the regular session at $124.14 (−2.23%). Per Keysight's earnings-call coverage from The Motley Fool and Benzinga, the test-and-measurement company reported record Q2 revenue of approximately $1.72 billion and EPS of $2.87, with orders up 56% year over year past $2 billion; KEYS closed the regular session at $344.11 (↑1.07%). The Keysight order strength — led by commercial communications and aerospace and defense — is a constructive read-through to the AI-infrastructure and defense demand the IOWN thesis tracks. *Think Like an Owner.*

4. The IOWN digital-asset sleeve steadied on Tuesday after the prior week's decline — IBIT was essentially flat at −0.07% and ETHA −0.44%, with Bitcoin holding near $76,500. Per the data drop, IBIT closed at $43.50 (−0.07%) and ETHA at $15.93 (−0.44%) on Tuesday, a marked deceleration from the consecutive sharp down sessions the prior briefs tracked. Per Fortune's pricing, Bitcoin traded near $76,565 on Tuesday morning, roughly $780 lower on the day — the underlying has stopped extending lower without yet establishing a clear recovery. The retail-direct exposure inside the growth sleeve was mixed (COIN ↑2.12%, MARA ↑2.13%, HUT −3.00%). The sleeve's stabilization alongside a still-soft risk tape is worth watching, but a single steadier session does not reverse the structural de-risking the prior briefs flagged. *Avoid Erosion.*

5. Carson's active SPY support at $645.80 remains untested — Tuesday's intraday low printed $731.53, leaving the index roughly 13% above the level even after a third straight down session. The retracement target Carson set on April 13 is intact and unhit; Tuesday's low of $731.53 per the data drop keeps the structural cushion at roughly the low-teens percent. Fear & Greed sits at 27 (Fear) per the data drop, little changed from the 25–27 zone the prior briefs have noted and still decoupled from an index that remains within range of its highs. The persistent gap between a cautious sentiment reading and a still-elevated index level is the same cross-current the prior briefs have flagged — the Carson level continues to function as the meaningful downside reference if tonight's print or the rate-path repricing deepens the move. **Simplicity Over Complexity.**